

and you're going to pay back the income tax—with penalties. Remember the caution of Proverbs 28:20: "A faithful man will abound with blessings, but he who makes haste to be rich will not go unpunished."

24 KEY #2: AVOID PERSONAL LIABILITY

Most get-rich-quick schemes, as well as most tax shelters, are available only if you accept personal liability for a large debt. God's Word says to avoid "surety," which means never make yourself personally liable for any indebtedness. For example, let's say that you were going to buy a \$10,000 piece of property but had only \$2,000 as a down payment. So you put your \$2,000 down on the property and then sign a note for the \$8,000 that says, "If ever I can't pay the note, the lender has the right to recover his property and sue me for any deficiency." That is "surety," taking on a personal liability without a certain way to pay.

On the other hand, let's assume that you're buying the same \$10,000 piece of property. You put down your \$2,000 and sign a note for the additional \$8,000. But the condition of the note reads, "If ever I can't pay, the lender has the right to keep what I have already paid in and to recover his property, but I owe nothing additional." In other words, there is no personal liability for any deficiency. In legal terms, that's called an "exculpatory," meaning that you have limited your liability to the collateral at risk. Thus, you have avoided "surety" because you always have a definite way to pay: surrender the property. That is the only biblically sound way to borrow.

I would counsel anyone to avoid personal liability at all costs. Then if you buy equipment, property, or investments, the most you can lose is the money you have "at risk" and not future earnings. Failure to do this can result in the loss of all your family's assets. Many times when an investment goes bad, it does so during the worst times in the economy. That's usually the time when you are least capable of carrying the loss.